

ApexNova Commerce Group

Customer Management Guidelines - 2021

1. Refund Policy

Following the annual policy review and in response to customer feedback, the organization has extended the refund window to 14 days from the date of purchase, providing customers with greater flexibility while maintaining appropriate controls against abuse. Refunds are now issued to the original payment method used at the time of purchase, whether that was cash, credit or debit card, or bank transfer. This change reflects the increasing diversity of payment methods used by customers and ensures a fairer and more practical return experience. A physical receipt in its original paper form remains mandatory for all refund requests. The organization has not yet implemented digital receipt verification and continues to rely on the paper receipt as the sole accepted proof of purchase. Receipts that are damaged, partially illegible, or significantly worn may be accepted at manager discretion, with store credit offered as an alternative to a full monetary refund in such cases. Items must be returned in their original condition with all tags, labels, and accessories attached. Products showing signs of use, washing, alteration, or damage not attributable to a manufacturing defect will not qualify for a full refund. A significant change this year is the introduction of partial refunds for items with minor cosmetic damage. Where a product has a small defect that does not affect functionality, employees may offer a partial refund calculated at a percentage of the original price, subject to manager approval. This gives customers a fair resolution without requiring a full return. The manager approval threshold has been raised from 50 euro to 100 euro, reflecting operational efficiency improvements and the demonstrated reliability of frontline staff in processing routine refund transactions. Employees may now independently process refunds up to 100 euro provided all standard conditions are met. Store credit may be offered as an alternative resolution when the original receipt shows signs of significant wear or is partially illegible but still reasonably identifiable as genuine. The store credit is valid for 12 months from the date of issue and may be used at any store location within the same region. Employees are reminded that the refund process should be handled with empathy and professionalism. A customer returning a product is often already disappointed or frustrated, and the employee's role is to make the process as smooth and dignified as possible within the boundaries of the policy. Suspected fraudulent refund attempts, including pattern returns, receipt manipulation, or wardrobing, must be escalated to the manager immediately without confronting the customer.

2. Theft & Incident Handling

The organization continues to prioritize employee safety above all other considerations in theft-related situations. However, based on loss-prevention research and operational experience, a measured expansion of permitted employee responses is introduced this year to improve early deterrence while maintaining strict safety boundaries. In cases of suspected theft, employees must continue to observe the situation carefully and report to a manager. The fundamental principle remains unchanged: employees are observers and reporters, not security officers or law enforcement agents. The key change for this year is the introduction of basic verbal de-escalation as a permitted response. Employees may now approach an individual they suspect of theft using neutral, non-accusatory customer service language designed to signal staff awareness without making any direct allegation. Approved approaches include phrases such as 'Can I help you find something?' or 'Would you like me to hold that item at the register for you?' These interactions must be delivered in a friendly, helpful tone and must not contain any implication of wrongdoing. The purpose of this approach is twofold: first, it signals to the individual that they have been noticed, which research consistently shows reduces completion of opportunistic theft; second, it allows the employee to gather closer observational details in a safe and natural manner. Direct confrontation remains strictly prohibited. Employees must not accuse, question, challenge, detain, or use any language that implies the person has committed or is about to commit a theft. Phrases such as 'I saw what you did,' 'Please put that back,' or 'I am going to have to ask you to empty your bag' are absolutely forbidden. Physical intervention of any kind continues to be strictly prohibited. Employees must not block exits, create physical barriers, follow suspects outside the premises, or make any attempt to recover merchandise from an individual's person or belongings. The manager remains responsible for contacting security or law enforcement. This decision authority has not been delegated to frontline staff. A significant process improvement this year is the transition from paper-based to digital incident reporting. Incident observations must now be recorded on the new digital incident form accessible via the store tablet within 1 hour of the event. The digital form includes guided prompts for date, time, location, observed behavior, products involved, employee actions taken, and manager notification status. Employee safety continues to take absolute precedence over merchandise recovery. This principle is reinforced in all team briefings and must be understood by every member of staff regardless of role or seniority.

3. Customer Communication

Building on the foundation established in the previous year, the organization is introducing a more structured approach to customer communication that balances employee autonomy with consistent service standards. Research into customer satisfaction drivers has confirmed that perceived listening quality and response structure significantly influence customer outcomes even when the final answer is unchanged. Active listening is now a mandatory practice for all customer-facing employees. This means that employees must

allow the customer to finish speaking before responding, must not interrupt with solutions or explanations prematurely, and must demonstrate through verbal and non-verbal cues that they are engaged and attentive. Nodding, maintaining appropriate eye contact, and using brief acknowledgments such as 'I understand' or 'I see' are all recommended active listening behaviors. A structured response format is introduced this year: Acknowledge, Clarify, Resolve or Escalate. This means employees should first acknowledge what the customer has said (demonstrating that they heard and understood), then clarify any details that are unclear or ambiguous (avoiding assumptions), and finally either resolve the matter within their authority or escalate it to the appropriate person. This simple three-step framework helps ensure consistency while still allowing flexibility in how employees express themselves. Employees must now greet every customer within 30 seconds of making eye contact or when a customer approaches their workstation or service area. The greeting does not need to be elaborate; a friendly 'Hello, how can I help you?' or 'Good morning, let me know if you need anything' is sufficient. The purpose is to establish a welcoming presence and signal availability. Complaints must be acknowledged verbally before any policy explanation is provided. This means that when a customer expresses frustration or dissatisfaction, the employee's first response must validate the customer's experience rather than immediately citing rules or restrictions. For example, 'I can see this has been frustrating for you' should precede 'Our policy states that...' rather than the other way around. Dismissive phrases are now formally prohibited. Expressions such as 'That is not my department,' 'There is nothing I can do,' 'You will have to come back another time,' or 'That is just how it is' are considered unacceptable as they shut down communication and leave the customer feeling unheard. Employees should instead offer constructive alternatives or involve someone who can help. In-store complaints should be actively addressed or escalated within 10 minutes. This does not mean that resolution must be achieved within 10 minutes, but that the customer should not be left waiting without acknowledgment or progress for longer than this period. All written communication must follow the approved template available on the shared drive and be reviewed by a team leader before being sent or displayed. This includes emails sent from store accounts, printed letters, and posted notices.

4. Documentation

The organization is making a significant transition this year from a purely paper-based documentation system to a digital-first approach that improves speed, accessibility, and analytical capability while maintaining the rigorous standards of accuracy and completeness that effective incident management requires. Digital incident forms are now introduced as the primary documentation method for all new incidents, complaints, refund exceptions, safety concerns, and notable customer interactions. These forms are accessible via the store tablet or any authorized terminal and include structured fields that guide employees through the required information in a logical sequence. Paper forms remain available as a backup method for situations where the digital system is temporarily

unavailable (due to technical issues, connectivity problems, or high-demand periods). However, paper forms are no longer considered the primary documentation method, and any paper-based entries must be transcribed into the digital system within 24 hours of creation. The reporting deadline has been tightened: reports must be completed within the same shift in which the incident occurred, with a maximum 8-hour window from the time of the event. This change recognizes that memory accuracy degrades significantly after a full shift and that timely documentation produces more reliable records. Each digital report must include: the date and time of the incident, the store location or area, the employee ID of the person filing the report, a non-identifying description of the customer involved (e.g., 'male customer, approximately 40 years old, wearing a blue jacket' rather than names or identifying details unless voluntarily provided), a factual summary of the event, all actions taken by staff, and the current resolution status. A major operational improvement is the introduction of automated daily incident summaries generated by the digital system and sent directly to the store manager's inbox each morning. This replaces the manual compilation previously required and allows managers to review the previous day's events efficiently without relying on individual staff members to remember or summarize verbally. The regional office now receives weekly digital reports automatically aggregated from all stores in the region. This improves visibility, enables faster identification of emerging trends or patterns, and reduces the administrative burden on store managers. Digital records are retained for 3 years, an increase from the previous 2-year paper retention period. This extended retention supports longer-term trend analysis and provides a more comprehensive historical record for operational and legal purposes.

5. Data Protection & Privacy

In response to evolving regulatory expectations and the increasing volume of customer data processed across the organization's operations, a more structured approach to data protection and privacy is being implemented this year. These changes represent a meaningful step forward from the informal, judgment-based approach previously in place. Written data access protocols are now formally in effect. Every time an employee accesses customer records in the point-of-sale system, loyalty database, or any other customer information repository, the access is logged automatically by the system. These logs record the employee ID, the timestamp of access, the customer record viewed, and the system used. Logs are reviewed monthly by the store manager for any irregular patterns. ID verification is now required for high-value refund transactions exceeding 200 euro. When processing such a refund, the employee must request a valid form of photographic identification and verify that the name matches the payment method used in the original transaction. Accepted forms of ID include national identity cards, passports, and driving licenses. The ID number must be recorded on the refund form but must not be photocopied or stored digitally. Customer purchase history access is now restricted to employees with a demonstrated legitimate business need. In practice, this means that only team leaders and above may access full customer transaction histories. Frontline employees may view only

the specific transaction relevant to the current service interaction and must not browse a customer's general purchase history. The use of personal devices to store, photograph, screenshot, or transmit customer information is now strictly prohibited regardless of circumstance. If a store phone is unavailable for a necessary customer contact, the employee must request use of a colleague's store device or postpone the call until a store device becomes available. Customer data shared verbally during an interaction must be limited to what is strictly necessary for completing the current transaction or resolving the current issue. Employees must not repeat or confirm sensitive information (such as full card numbers, home addresses, or account passwords) in a voice loud enough to be overheard by other customers or non-authorized staff. An annual data protection awareness briefing is introduced for all customer-facing staff. This mandatory session covers the basics of data handling responsibilities, common mistakes to avoid, and the consequences of data misuse. Attendance is tracked and reported to HR. Violations of the new data access protocols are taken seriously and may result in a formal written warning for the first offense. Repeated violations or deliberate misuse of customer data will be subject to the organization's full disciplinary process.